

REDLINE — Second Amendment to Bylaws (proposed changes vs. recorded 2023)

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~~red strikethrough = removed from recorded text~~ | green underline = added in 2026 restatement

ARTICLE I

THIS ~~FIRST~~SECOND AMENDMENT TO THE BYLAWS OF ARMADALE TOWNHOMES OWNERS ASSOCIATION, is made on the date hereinafter set forth by the Armadale Townhomes Owners Association, subject to the Bylaws recorded in the deed records of Hood River County Records and Assessments as microfilm no. 921431 on May 12, 1992. Pursuant to Article ~~XHX~~XIV of the Bylaws, the Association desires to amend the Bylaws by replacing and restating the Bylaws as follows: The name of the corporation is Armadale Townhomes Owners Association, hereinafter referred to as the "Association." The principal office of the Association shall be located at such address as may be designated by the Board of Directors from time to time, but meetings of members and directors may be held at such places within the State of Oregon as may be designated by the Board of Directors.

ARTICLE II

DEFINITIONS

Section 1. "Association" means the Armadale Townhomes Owners Association, its successors and assigns.

Section 2. "Properties" means that certain real property described in the Declaration.

Section 3. "Common Area" means all real property (including the improvements thereto) owned by the Association for the common use and enjoyment of the owners as shown in the plat as tax lot 2801, and also known as lot 10.

Section 4. "Unit" means one of the tax ~~lots~~lots designated 2804, 2805, 2806, 2807, ~~2808~~2809, 2810, and 2812, and the improvements thereon.

Section 5. "Owner" means the legal owner or contract purchaser of any unit which is a part of the properties but excluding those having such interest merely as security for the performance of an obligation.

Section 6. "Notice" means written, phone communications or electronic, such as email, or text.

Section 7. "Declaration" means the Declaration of Covenants, Conditions and Restrictions applicable to the properties recorded in the records of Hood River County.

Section 8. "Member" means those persons entitled to membership as provided in the Declaration.

ARTICLE III

MEETING OF MEMBERS

Section 1. Annual Meetings. The regular annual meeting of the members shall be held on the same day of the same month of each year thereafter, at the hour of seven o'clock, P.M. or on such other date and time as is determined by the Board of Directors and all meetings may be held in person, by phone or video conference.

Section 2. Special Meetings. Special meetings of the members may be called at any time by the president or by the Board of Directors, or upon notice made to the members who are entitled to vote.

Section 3. Notice of Meetings. Notice of each meeting of the members shall be given by, or at the direction of, the secretary or person authorized to call the meeting, by acceptable method of notice, as required by ORS 94.650, as amended (currently not less than ~~seven~~10 (7) or nor more than ~~fifty (50)~~50 days before ~~such~~the meetingmeeting), to each member entitled to vote thereat. Such notice shall specify the place, day and hour of the meeting, and, in the case of special meeting, the purpose of the meeting.

Section 4. Quorum. The presence at the meeting of members entitled to cast, or of proxies entitled to cast, 50 percent of the votes of the membership shall constitute a quorum for any action except as otherwise provided in the Articles of Incorporation, the Declaration, or these Bylaws. If, however, such quorum shall not be present or represented at any meeting, the members entitled to vote thereat shall have power to adjourn the meeting from time to time, without notice other than announcement at the meeting, until quorum as aforesaid shall be present or be represented.

Section 5. Proxies. At all meetings of members, each member may vote in person or by proxy. All proxies shall be in writing and filed with the secretary. Every proxy shall be revocable and shall automatically cease upon conveyance by the member of his unit.

Section 6. Fiduciaries. An executor, administrator, guardian or trustee may vote, in person or by proxy, at any meeting of the Association with respect to any unit owned or held by them in such capacity, whether or not the same shall have been transferred to his name; provided, that he shall satisfy the secretary that he is the executor, administrator, guardian or trustee, holding such unit in such capacity.

Section 7. Order of Business. The order of business at all meetings of members shall be as follows:

(a) Roll Call. (b) Proof of notice of meeting or waiver of notice. (c) Reading of minutes of the preceding meeting. (d) Reports of officers. (e) Reports of committees, if any. (f) Election of directors. (g) Unfinished business. (h) New business. (i) Adjournment.

ARTICLE IV

BOARD OF DIRECTORS; SELECTION; TERM OF OFFICE

Section 1. Number. The affairs of this Association shall be managed by a Board of Directors consisting of not less than three (3) nor more than five (5) Directors. The exact number of Directors within that range shall be fixed from time to time by the members at the annual meeting; until so fixed, the number of Directors shall be three (3).

Section 2. Term of Office. At the meeting the members shall elect directors for a term of one year.

Section 3. Removal. Any director may be removed from the Board, with or without cause, by a majority vote of the members of the Association. In the event of death, resignation or removal of a director, their successor shall be elected by the remaining members of the Board and shall serve for the unexpired term of their predecessor.

Section 4. Compensation. No director shall receive compensation for any service they may render to the Association. However, any director may be reimbursed for their actual expenses incurred in the performance of their duties.

Section 5. Action Taken Without a Meeting. The directors shall have the right to take any action in the absence of a meeting which they could take at a meeting by obtaining the written approval of all the directors. Any action so approved shall have the same effect as though taken at a meeting of the directors.

ARTICLE V

NOMINATION AND ELECTION OF DIRECTORS

Section 1. Nomination. Nomination for election to the Board of Directors shall be made from the floor at the annual meeting. There may be as many nominations for election to the Board of Directors as may be offered, but not less than the number of vacancies that are to be filled. Such nominations may be made from among members.

Section 2. Election. Election to the Board of Directors shall be by secret written ballot. At such election the members or their proxies may cast, in respect to each vacancy, as many votes as they are entitled to exercise under the provisions of the Declaration for such vacancy. The person receiving the largest number of votes shall be elected to fill such vacancy. Cumulative voting is not permitted.

ARTICLE VI

MEETINGS OF DIRECTORS

Section 1. Regular and Special Meetings. Meetings of the Board of Directors shall be held when called by the president of the Association, or by any two directors, after not less than three (3) days notice to each director.

Section 2. Quorum. A majority of the number of directors shall constitute a quorum for the transaction of business. Every act or decision done or made by a majority of the directors present at a duly held meeting at which a quorum is present shall be regarded as the act of the Board.

Section 3. Open Meetings; Notice; Executive Session. All meetings of the Board of Directors are open to the owners. Owners shall be given advance notice of Board meetings as required by ORS 94.640, as amended (currently at least 3 days). The Board may meet in executive session only for matters permitted by ORS 94.640 and ORS 94.644, as amended, including but not limited to consultation with legal counsel; pending or threatened litigation; personnel matters; and the negotiation of, or collection of, delinquent assessments. The Board may enter executive session only by a vote taken in open session, and any decision required to be made shall be made in open session.

ARTICLE VII

POWERS AND DUTIES OF THE BOARD OF DIRECTORS

Section 1. Powers. The Board of Directors shall have power to:

- (a) adopt and publish rules and regulations as provided in Article III, Section 2, of the Declaration;
- (b) exercise for the Association all powers, duties and authority vested in or delegated to this Association and not reserved to the membership by other provisions of these Bylaws, the Articles of Incorporation, or the Declaration;
- (c) exercise for the Association any power conferred on homeowners associations in Oregon's Planned Communities Act, except where such power is inconsistent with provisions of the Declaration or these Bylaws.

Section 2. Duties. It shall be the duty of the Board of Directors to:

- (a) keep or cause to be kept the books and records of the Association as provided in Article X of these Bylaws;
- (b) supervise all officers, agents and employees of this Association, and see that their duties are properly performed;
- (c) as more fully provided in the Declaration, to:
 - (1) fix the amount of the regular assessment against each unit at least thirty (30) days in advance of each annual assessment period;
 - (2) send written notice of each assessment to the owner subject thereto at least thirty (30) days in advance of each assessment period; and
 - (3) foreclose the lien against any unit for which assessments are not paid within a reasonable time after due date and/or to bring an action at law against the Owner personally obligated to pay the same.
- (d) issue, or cause an appropriate officer to issue, upon demand by any person, a certificate setting forth whether or not any assessment has been paid. A reasonable charge may be made by the Board for the issuance of these certificates. If a certificate states an assessment has been paid, such certificate shall be conclusive evidence of such payment;
- (e) procure and maintain adequate liability and hazard insurance as provided in Article XII of the Bylaws;
- (f) obtain and maintain fidelity and crime coverage as required by ORS 94.675, as amended, covering all persons who control or disburse, or otherwise have access to, Association funds, including but not limited to directors, officers, employees, and any managing agent, and including computer-fraud and funds-transfer fraud coverage. Such coverage shall be in an amount not less than that required by statute (currently an amount at least equal to the Association's funds plus the value of any securities held by the Association), subject to the statutory annual owner opt-out. The specific amount and terms shall be set by the Board by resolution;
- (g) ~~cause officers or employees having fiscal responsibilities~~ the Common Property to be ~~bonded,~~ as maintained as provided in Section 3 of this Article;
- (h) open bank accounts on behalf of the Association and designate the signatories required therefor, and deposit and disburse Association funds as provided in Section 4 of this Article;
- (i) adopt, amend, and repeal administrative rules and regulations governing the operation and use of the Common Property as provided in Section 5 of this Article;
- (j) adopt an annual budget and distribute it ~~may deem appropriate;~~

~~(g) cause the Common Area to be maintained~~to the owners as provided in ~~Article II;~~

~~(h) open bank accounts on behalf of the Association and designate the signatories required therefor;~~

~~(i)~~Section 6 of this Article;

(k) prepare and distribute an annual financial statement as provided in Section 7 of this Article;

~~(l)~~ enforce the provisions of the Declaration and these Bylaws and rules and regulations adopted and published thereunder.

Section 3. Common Property Maintenance Program. The Board shall establish and carry out a program for the maintenance, upkeep, repair, and replacement of the Common Property (Tax Lot 2801), as required by ORS 94.635(10), as amended. The cost of the program shall be paid from assessments as a common expense of the Association. Payment vouchers for the program shall be approved in the manner the Board establishes by resolution. This program covers the Common Property only; the maintenance, repair, and replacement of the structures and improvements upon the individual units are the responsibility of the respective owners as provided in the Declaration.

Section 4. Association Account. All assessments and other Association funds shall be deposited in a separate account maintained in the name of the Association at an Oregon-based federally insured financial institution, as required by ORS 94.670(2), as amended. All expenses of the Association shall be paid from that account.

Section 5. Administrative Rules and Regulations. The Board may adopt, amend, and repeal administrative rules and regulations governing the operation and use of the Common Property, as provided in ORS 94.635(15), as amended. Rules shall be adopted or amended by resolution at an open meeting of the Board, with notice to the owners and a stated effective date.

Section 6. Annual Budget. The Board shall adopt an annual budget and distribute a summary of it to all owners as required by ORS 94.645, as amended (currently within 30 days after adoption). If the Board does not adopt a budget for any fiscal year, the last budget adopted shall continue in effect until a new budget is adopted.

Section 7. Annual Financial Statement. The Board shall prepare and distribute to each owner, and to any mortgagee that requests it in writing, an annual financial statement, including a balance sheet and an income and expense statement, as required by ORS 94.670, as amended (currently within 90 days after the end of the fiscal year).

ARTICLE VIII

OFFICERS AND THEIR DUTIES

Section 1. Enumeration of Officers. The officers of this Association shall be a president, who shall at all times be a member of the Board of Directors, a secretary, and a treasurer, and such other officers as the Board may from time to time by resolution create.

Section 2. Election of Officers. The election of officers shall take place at the meeting of the members.

Section 3. Term. The officers of this Association shall be elected annually by the Board and each shall hold office for one year unless he or she shall sooner resign, or be removed, or otherwise be disqualified to serve.

Section 4. Special Appointments. The Board may elect such other officers as the affairs of the Association may require, each of whom shall hold office for such period, have such authority, and perform such duties as the Board may from time to time determine.

Section 5. Resignation and Removal. Any officer may be removed from office with or without cause by the Board. Any officer may resign at any time giving written notice to the Board, the president or the secretary. Such resignation shall take effect on the date of receipt of such notice or at any later time specified therein, and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 6. Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 7. Multiple Officers. The offices of secretary and treasurer may be held by the same person. No person shall simultaneously hold more than one of any of the other offices except in the case of special offices created pursuant to Section 4 of this Article.

Section 8. Duties. The duties of the officers are as follows:

(a) President. The president shall preside at all meetings of the Board of Directors and of the members; shall see that orders and resolutions of the Board are carried out; and shall have all of the general powers and duties which are usually vested in the chief executive officer of an Association.

(b) Secretary. The secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; serve notice of meetings of the Board and of the members; keep appropriate current records showing the members of the Association together with their addresses and shall perform such other duties as required by the Board.

(c) Treasurer. The treasurer shall receive and deposit in ~~appropriate bank accounts~~ the Association account all monies of the Association and shall disburse such funds as directed by resolution of the Board of Directors; shall sign all checks and promissory notes of the Association; shall keep proper books of account; shall ~~audit~~ maintain the Association's books and records and ensure the preparation of the annual financial statement and of any independent certified public accountant review required by ORS 94.670, as amended (currently a CPA review is required only if the Association's annual assessments exceed \$75,000); and shall prepare an annual budget and a statement of income and expenditures to be presented to the membership at ~~least annually the Association books made by~~ its regular annual meeting, and deliver a public accountant; and shall prepare an annual budget and a statement of income and expenditures copy of each to ~~be presented to the membership at its regular annual meeting, and deliver a copy of each to~~ the members.

ARTICLE IX

COMMITTEES

The Board of Directors may appoint committees to assist it in performing its duties, including an Architectural Control Committee.

ARTICLE X

BOOKS AND RECORDS

Section 1. Recordkeeping. The Board of Directors or its designated officer shall keep detailed accurate records of the receipts and expenditures of the Association and such other financial records necessary for proper accounting purposes. The Board of Directors or its designee shall also maintain at all times copies of the Declaration, Bylaws, Articles of Incorporation, and current rules and regulations of the Association.

Section 2. Availability of Books and Records. The books, records and documents of the Association shall be available during reasonable times for inspection by owners or by holders, insurers, and/or guarantors of a first mortgage securing a unit. The Upon Board written request, the records of Directors the Association shall be made available for duplication, and copies shall be furnished, as required by ORS 94.670, as amended (currently within 10 business days after the request); the Board may charge a reasonable fee for furnishing copies to an owner, mortgagee, or prospective purchaser.

Section 3. Audited Statement. At any time an owner or a mortgagee may, at their own expense, cause an audit to be made of the books and records of the Association. The Board of Directors or its designee shall cooperate to facilitate the necessary auditing and review process.

ARTICLE XI

ASSESSMENTS

As more fully provided in the Declaration, each member is obligated to pay to the Association regular and special assessments which are secured by a continuing lien upon the unit against which the assessment is made. Any assessments which are not paid when due shall be delinquent.

ARTICLE XII

INSURANCE AND BONDS

Section 1. Insurance ("Master Policy"). For the benefit of the Association and the owners, the Board of Directors shall secure and maintain the following insurance coverage and shall pay for the same as a common expense of the Association:

(a) Property Coverage (Base-Standard Basis). A policy or policies of property insurance covering each structure on a base-standard basis. The coverage shall insure each structure to the original building standard (the "Standard Unit," as defined in the Declaration, Article I, Section 9, the specifics of which the Board establishes and maintains by resolution) at full replacement cost (i.e., 100 percent of current replacement cost) of the Standard Unit, exclusive of land, foundation, excavation and other items normally excluded from coverage. The coverage does not extend to improvements or betterments above the Standard Unit, which each owner must insure as provided in Section 4 of this Article and in ORS 94.685, as amended. The insurance policy or policies must protect against loss or damage by fire and all other hazards that are normally covered by the standard extended coverage endorsement as well as those covered by the standard "all risks" endorsement. If at all possible, the policy will also contain an "agreed amount and inflation guard" endorsement. Such policy or policies shall name the Association and the individual owners as insureds and shall provide for a separate loss payable in favor of all

mortgagees. The policy or policies shall provide for a deductible in an amount the Board sets by resolution, consistent with ORS 94.675, as amended. As provided in ORS 94.675(3), as amended, the amount of any deductible shall be added to the face amount of the policy in determining whether the insurance equals full replacement cost.

(b) Liability Coverage. A comprehensive policy or policies insuring the Association, the owners individually, the Board of Directors and the manager, if any, against liability to the public, the owners and their invitees or tenants, incident to the supervision, control or use of the properties. The policy or policies shall provide coverage for bodily injury and property damage, in an amount the Board determines to be prudent, and not less than any amount required by ORS 94.675, as amended, or by any first mortgagee. The insurance should provide coverage for any legal liability that may result from lawsuits related to employment contracts in which the Association is a party.

The policy or policies in this Section 1 must provide for at least ten (10) days' written notice to the Association before the insurer can cancel or substantially modify it.

~~Section 1. Insurance ("Master Policy"). For the benefit of the Association and the owners, the Board of Directors shall secure and maintain the following insurance coverage and shall pay for the same as a common expense of the Association:~~

~~(a) Fire and Extended Coverage. A policy or policies of insurance equal to full replacement value (i.e., 100 percent of current replacement cost) exclusive of land, foundation, excavation and other items normally excluded from coverage, but including all buildings, fixtures and equipment within individual dwellings if they will be financed by a mortgage. The insurance policy or policies must protect against loss or damage by fire and all other hazards that are normally covered by the standard extended coverage endorsement as well as those covered by the standard "all risks" endorsement. If at all possible, the policy will also contain an "agreed amount and inflation guard" endorsement. Such policy or policies shall name the Association and the individual owners as insureds and shall provide for a separate loss payable in favor of all mortgagees. In no event shall such policy or policies have a deductible clause in excess of \$1,000 per unit.~~

~~(b) Liability Coverage. A comprehensive policy or policies insuring the Association, the owners individually, the Board of Directors and the manager, if any, against liability to the public, the owners and their invitees or tenants, incident to the supervision, control or use of the properties. The policy or policies shall provide coverage for bodily injury and property damage, and limits of liability under such insurance shall not be less than \$1,000,000 on a combined single limit basis. The insurance should provide coverage for any legal liability that may result from lawsuits related to employment contracts in which the Association is a party.~~

~~The policy or policies in this Section 1 must provide for at least ten (10) days' written notice to the Association before the insurer can cancel or substantially modify it.~~

Section 2. Additional Policy Provisions. The Board of Directors may, in its discretion, provide coverage against other risks and obtain such other provisions as the Board deems appropriate or desirable.

Section 3. Settlement of Loss. All losses under policies above-described shall be settled exclusively with the Board of Directors or its authorized representative. Proceeds of the policies shall be paid to the Association as

trustee for the owners, or, upon the demand of any mortgagee, to an insurance trustee acceptable to the Association and the mortgagees of units.

Section 4. Owners' Obligations. Each owner shall be responsible for obtaining, at their own expense, insurance covering their property not insured under Section 1. In satisfaction of ORS 94.685, as amended, each owner shall obtain and maintain insurance covering, including but not limited to, the improvements and betterments to the owner's unit above the Standard Unit (as defined in the Declaration, Article I, Section 9) and the owner's responsibility for the deductible under the Association's master policy. Such owner coverage shall exclude any coverage that the owner is precluded from obtaining so as to avoid duplicate coverage. As between the Association's master policy and an owner's policy, the master policy shall be primary as to the Standard Unit and the owner's policy shall be primary as to the owner's improvements, betterments, and master-policy deductible responsibility, so that there is neither a gap nor an overlap in coverage. Each owner shall promptly inform the Board of any loss, claim or damage which may be covered under a policy maintained by the Association.

~~**Section 4. Owners' Obligations.** Each owner shall be responsible for obtaining, at their own expense, insurance covering their property not insured under Section 1. Additionally, each owner shall inform the Board of Directors of any improvement made by the owner to their unit which has a value in excess of \$500, so that the Board of Directors may make any desired adjustments in insurance coverage. Each owner shall promptly inform the Board of any loss, claim or damage which may be covered under a policy maintained by the Association.~~

Section 5. Review of Insurance Policies. At least annually, the Board shall review all insurance carried by the Association. ~~Such review should include an appraisal of all improvements made to the properties by a representative of the appraisal insurance carrier.~~

ARTICLE XIII

CORPORATE SEAL

The Association shall have no seal.

ARTICLE XIV

AMENDMENTS

Section 1. These Bylaws may be amended, at a regular or special meeting of the members, by the affirmative vote of ~~50 a percent or more~~ majority of ~~each the class members, of as members.~~ provided in ORS 94.635(16), as amended.

Section 2. In the case of any conflict between the Articles of Incorporation and these Bylaws, the Articles shall control; and in the case of any conflict between the Declaration and these Bylaws, the Declaration shall control.

ARTICLE XV

MISCELLANEOUS

~~The fiscal year of the Association shall begin on the first day of January and end on the 31st day of December of every year for required public filings. Reports for the annual meeting of the Association will correspond to the what can reasonably be generated prior to the annual meeting. As an example, a yearly report of August 1st to July 31st may be used for annual meeting in September or October.~~

Section 1. Fiscal Year. The fiscal year of the Association shall begin on the first day of January and end on the 31st day of December of every year for required public filings. Reports for the annual meeting of the Association will correspond to what can reasonably be generated prior to the annual meeting. As an example, a yearly report of August 1st to July 31st may be used for an annual meeting in September or October.

Section 2. Statutory Compliance; Savings. To the extent any provision of these Bylaws conflicts with ORS Chapter 94 or any other applicable law, the applicable law controls, and the Association shall comply with all applicable statutory requirements as amended from time to time. The invalidity or unenforceability of any provision of these Bylaws shall not affect the validity or enforceability of the remaining provisions.